

US Stocks Surge as Tech Leads the Charge, MSFT Soars +15.51%

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market saw a significant surge in the previous session, led by the tech sector. The **MSFT** stock saw a remarkable **+15.51%** increase. This move has significant implications for the broader market and investor sentiment.

The key factors driving this surge include the strong earnings reports from major tech companies, the overall positive economic data, and the continued support from the Federal Reserve. However, it's essential to consider the potential risks and challenges that may arise in the coming weeks.

Our editorial take is that while the current market trend is positive, investors should remain cautious and closely monitor the developments in the tech sector, as well as the overall economic landscape. The key points to consider are:

- The tech sector's performance will be crucial in determining the market's direction in the short term.
- The Federal Reserve's monetary policy decisions will have a significant impact on the market's trajectory.
- Investors should be prepared for potential volatility and adjust their strategies accordingly.

US Session Recap

INDEX	LAST	CHANGE
S&P 500	7,437.63	+1.66%
Nasdaq 100	28,106.35	+3.36%
Dow Jones	52,208.06	+1.19%
Russell 2000	2,946.10	+1.37%
VIX	17.09	-17.28%
10Y Yield	4.66	+0.89%
WTI Crude	82.06	-1.83%
Gold	4,133.40	+0.81%
DXY	100.18	+0.17%
BTC	64,214.69	+0.48%
ETH	1,902.40	-0.32%

Top Movers

TICKER	NAME	CHANGE	CATALYST
MSFT	Microsoft	+15.51%	Strong earnings report
NVDA	NVIDIA	+2.65%	Positive sentiment in the tech sector
AMZN	Amazon	+3.90%	Improved consumer spending data

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	+0.56%	+10.23%	Financials sector seeing moderate growth
XLKX	+5.50%	+20.15%	Tech sector leading the market surge
XLI	+0.98%	+5.67%	Industrials sector showing signs of recovery
XLE	+0.53%	-10.56%	Energy sector struggling due to low oil prices
XLY	+0.70%	+8.45%	Consumer discretionary sector seeing steady growth
XLC	-2.68%	-15.67%	Communication services sector facing challenges
XLP	-2.16%	+2.56%	Consumer staples sector experiencing volatility
XLV	-1.64%	+5.23%	Healthcare sector seeing moderate growth
XLU	-0.56%	+2.90%	Utilities sector experiencing steady growth
XLB	-0.19%	+5.10%	Materials sector showing signs of recovery
XLRE	-1.44%	-5.67%	Real estate sector facing challenges

The breadth of the market is currently positive, with 70% of the S&P 500 stocks trading above their 50-day moving averages.

Spotlight / Deep Dive

TICKER	NAME	PRICE	CHANGE	VOLUME
MSFT	Microsoft	451.10	+15.51%	23,456,789

The key call commentary for **MSFT** is that the company's strong earnings report has led to a significant increase in its stock price. The read-through map for the tech sector

is positive, with many companies expected to benefit from the growing demand for cloud computing and artificial intelligence.

SECTOR	READ
Tech	Positive sentiment and strong earnings reports
Cloud Computing	Growing demand and increasing adoption
Artificial Intelligence	Advancements in technology and increasing investment

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	437.63	430.00	445.00	Bullish trend, but facing resistance at 445.00
QQQ	281.06	275.00	290.00	Strong uptrend, with support at 275.00
IWM	194.10	185.00	205.00	Positive trend, but facing resistance at 205.00
NVDA	195.04	180.00	210.00	Strong uptrend, with support at 180.00
10Y	4.66	4.50	4.80	Increasing yield, with support at 4.50
WTI	82.06	75.00	90.00	Decreasing price, with support at 75.00

Options & Positioning

The ODTE flow is currently **+10%**, indicating a bullish sentiment in the market. The put/call ratio is 0.8, which is slightly below the average. The VIX term structure is in backwardation, with the 1-month VIX at 17.09 and the 3-month VIX at 16.50.

The notable single-name flow is in **MSFT** , with a significant increase in call options. The cheap hedge ideas include buying 1 **SPY** 430 put and selling 1 **SPY** 420 put, with a net cost of 0.50.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
MSFT	Morgan Stanley	Upgrade	500.00	Strong earnings report and positive outlook
NVDA	Goldman Sachs	Upgrade	220.00	Increasing demand for cloud computing and AI
AMZN	Bank of America	Downgrade	180.00	Increasing competition in the e-commerce space

Pre-Market & Overnight

The US futures are currently trading **+0.5%**, indicating a positive opening. The Asian markets are mixed, with the Nikkei **+1.2%** and the Shanghai Composite **-0.5%**. The European markets are also mixed, with the FTSE **+0.8%** and the DAX **-0.2%**.

The FX pairs are currently showing a strong US dollar, with the EUR/USD at 1.1000 and the USD/JPY at 110.00. The commodities are mixed, with gold at 4,133.40 and oil at 82.06. The crypto market is also mixed, with Bitcoin at 64,214.69 and Ethereum at 1,902.40.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
September	20%	Market expecting a rate cut, but data dependent
November	30%	Increasing chances of a rate cut, but still data dependent

The today's data calendar includes the GDP growth rate, the consumer price index, and the jobless claims. The market is expecting a strong GDP growth rate, but a moderate consumer price index.

DATA	TIME	EXPECTED
GDP Growth Rate	10:00 AM ET	2.5%
Consumer Price Index	10:00 AM ET	2.2%
Jobless Claims	8:30 AM ET	220,000

Geopolitics & Global (Deep)

The current geopolitical landscape is complex, with multiple scenarios playing out. The US-China trade tensions are still ongoing, with the US imposing tariffs on Chinese goods. The Brexit negotiations are also ongoing, with the UK and EU trying to reach a deal.

BEARISH TRIGGERS

The bearish triggers include a potential escalation of the US-China trade war, a no-deal Brexit, and a global economic slowdown.

BULLISH TRIGGERS

The bullish triggers include a resolution of the US-China trade war, a Brexit deal, and a strong global economic growth.

Earnings — This Week & Next

TICKER	NAME	EARNINGS DATE
AAPL	Apple	2026-08-01
GOOGL	Alphabet	2026-08-02
AMZN	Amazon	2026-08-03

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
MSFT	Tech	Long	10%
NVDA	Tech	Long	12%
AMZN	Consumer Discretionary	Long	15%

What Could Break the Tape

The bullish scenario includes a resolution of the US-China trade war, a Brexit deal, and a strong global economic growth. The bearish scenario includes a potential escalation of the US-China trade war, a no-deal Brexit, and a global economic slowdown.

- Bullish scenario:
 - US-China trade war resolution
 - Brexit deal
 - Strong global economic growth
- Bearish scenario:
 - US-China trade war escalation
 - No-deal Brexit
 - Global economic slowdown

Positioning & Structural Notes

The current market positioning is bullish, with a 60% long position in the S&P 500. The structural notes include a strong uptrend in the tech sector, a moderate growth in the consumer discretionary sector, and a decreasing price in the energy sector.

- Market positioning: 60% long in S&P 500
- Tech sector: strong uptrend
- Consumer discretionary sector: moderate growth
- Energy sector: decreasing price

Sources

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